the alternative minimum tax, which now hits many middle-income Americans, can negate the advantages of municipal bonds.

8 For an excellent introduction to bond investing, see http://flagship.van guard.com/web/planret/AdvicePTIBInvestmentsInvestingInBonds.html#Inter estRates. For an even simpler explanation of bonds, see http://money.cnn. com/pf/101/lessons/7/. A "laddered" portfolio, holding bonds across a range of maturities, is another way of hedging interest-rate risk.

9 For more information, see www.vanguard.com, www.fidelity.com, www. schwab.com, and www.troweprice.com.

10 For an accessible online summary of bond investing, see www.aaii.com/ promo/20021118/bonds.shtml.

11 In general, variable annuities are not attractive for investors under the age of 50 who expect to be in a high tax bracket during retirement or who have not already contributed the maximum to their existing 401(k) or IRA accounts. Fixed annuities (with the notable exception of those from TIAA-CREF) can change their "guaranteed" rates and smack you with nasty surrender fees. For thorough and objective analysis of annuities, see two superb articles by Walter Updegrave: "Income for Life," *Money,* July, 2002, pp. 89–96, and "Annuity Buyer's Guide," *Money,* November, 2002, pp. 104–110.

12 For more on the role of dividends in a portfolio, see Chapter 19.

* At the beginning of 1949, the average annual return produced by stocks over the previous 20 years was 3.1%, versus 3.9% for long-term Treasury bonds—meaning that $10,000 invested in stocks would have grown to $18,415 over that period, while the same amount in bonds would have turned into $21,494. Naturally enough, 1949 turned out to be a fabulous time to buy stocks: Over the next decade, the Standard & Poor's 500-stock index gained an average of 20.1% per year, one of the best long-term returns in the history of the U.S. stock market.

† Graham's earlier comments on this subject appear on pp. 19–20. Just imagine what he would have thought about the stock market of the late 1990s, in which each new record-setting high was considered further "proof" that stocks were the riskless way to wealth!

* The Dow Jones Industrial Average closed at a then-record high of 381.17 on September 3, 1929. It did not close above that level until November 23, 1954—more than a quarter of a century later—when it hit 382.74. (When you say you intend to own stocks "for the long run," do you realize just how long the long run can be—or that many investors who bought in 1929